

THE DAILY FINANCE BRIEF

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ECONOMY

Rising Bond Yields Could Raise Your Borrowing Costs

Bond yields (the return investors earn from lending money to the government) are rising sharply, which could mean higher borrowing costs for everyday people. Recently, U.S. 30-year Treasuries (long-term government bonds) exceeded 5.3%, the highest in nearly two decades. This increase is linked to various factors, including fears of inflation (the general rise in prices of goods and services over time) and expectations that the Federal Reserve (the

U.S. central bank that controls interest rates) will raise interest rates. As borrowing costs rise, loans for things like homes, cars, and credit cards could become more expensive.

For regular consumers, this means that if you plan to take out a loan or mortgage, you might end up paying more in interest, which can affect your monthly budget.

Source: MoneyWeek

MARKETS

Inflation Data Could Impact Your Wallet Soon

As the Dow Jones Industrial Average (an index that tracks the stock prices of 30 large U.S. companies) futures are under pressure, all eyes are on upcoming inflation data. Dow futures are currently trading near 53,188, down about 0.4%. This decline follows a strong jobs report showing that 162,000 jobs were added in August, which is much higher than expected. The strong job growth has raised concerns that the Federal Reserve (the U.S. central bank that controls interest rates) may increase interest rates to combat inflation (the general rise in prices of goods and services over time).

If the Fed raises interest rates, it could lead to higher borrowing costs for consumers, affecting loans and credit card rates.

Source: FX Leaders

Gold Prices Drop as Job Growth Surges

Gold prices have fallen to around \$4,400 per troy ounce, down from earlier highs, due to a strong U.S. jobs report. The report showed that 162,000 jobs were added in August, nearly triple the expected number. This strong job growth has made gold, a non-yielding asset (an investment that does not pay interest), less attractive to investors. As the Federal Reserve (the U.S. central bank that controls interest rates) is expected to raise interest rates, investors are shifting their focus to assets that can provide returns.

This decline in gold prices could affect those who invest in gold or use it as a hedge against inflation (the general rise in prices of goods and services over time).

Source: FX Leaders

U.S.-Iran Tensions Affect Oil Prices

Recent escalations between the U.S. and Iran have disrupted global oil supplies, pushing Brent crude oil prices to around \$96 per barrel. The tensions arose from U.S. military actions against Iranian oil tankers and Iran's retaliation against U.S. allies. This situation is concerning because higher oil prices can lead to increased costs for consumers, affecting everything from gas prices to the cost of goods that rely on oil for production and transportation.

If oil prices remain high, consumers may see higher prices at the pump and for everyday products.

Source: The Macro Wire

COMPANIES

U.S.-Mexico Water Dispute Could Affect Food Prices

A growing water dispute between the U.S. and Mexico is intensifying due to ongoing drought conditions, which could have implications for food prices. The two countries share rivers, but a 1944 treaty governing their water use is becoming strained as droughts limit supply. The U.S. can reduce water deliveries to Mexico, but Mexico cannot do the same, leading to a significant water debt. This situation is causing public outcry in Mexico and could impact agricultural production, particularly in the U.S., where farmers rely on shared water sources.

If agricultural output is affected, consumers may see higher prices for food items, especially those that require a lot of water to grow.

Source: Le Monde

Anthropic's IPO Aims to Break Records

Anthropic, an artificial intelligence company, is preparing for an initial public offering (IPO), aiming to raise nearly \$100 billion. This would make it the largest IPO in history, surpassing SpaceX's previous record. The company has secured long-term contracts with major tech firms, which has boosted its valuation to nearly \$2 trillion. While this news is significant for investors and the tech industry, it may not have an immediate impact on everyday consumers.

However, the success of such companies can influence technology trends and job markets in the long run.

Source: El País